

China Pharmacy

Same-store recovery accelerated in 2Q26 amid consolidation; future growth driven by three reinforcing structural tailwinds

The pharmacy call series we held over the past few days points to a clear operating inflection for the listed China pharmacy chains. Same-store growth re-accelerated in 2Q26 across all three names (Yifeng ~6%, LaoBaiXing [LBX] 5–6%, Dashenlin also accelerating month-on-month), versus low-single-digit prints in 4Q25–1Q26, driven mainly by foot traffic. Management and our channel expert attribute the foot traffic growth to an accelerating industry clear-out in the last two years, and the store base is expected to shrink from ~700k toward 400–500k over 3–5 years, redistributing traffic to surviving stores, especially ones of leading chains. At the same time, tightening medical-insurance supervision (flight inspections, white-list regime, drug traceability requirement and prescription controls) is squeezing small and mid-size chains hardest, converting regulatory pressure into an M&A wave and franchise pipeline for the large chains at falling valuations (mid-small chain's P/S now is 0.3–0.5x). We see three reinforcing structural tailwinds for leading pharmacy chains from now on: consolidation-driven market share gains, a franchise-led asset-light growth engine, and margin resilience from product category mix improvement and cost cuts. Overall, we think the worst is over in the pharmacy space and the leading pharmacies are now well positioned to offer higher-quality growth with the risk narrative (online price parity, in-hospital price benchmarking, flight inspections) having largely shifted from fundamentals to sentiment.

- **2Q26 same-store growth likely to re-accelerate due to traffic growth, driven by continued store closure and consolidation in the industry.** After 4Q25–1Q26 prints stuck in the low single digits, all three chains, Yifeng, LBX and Dashenlin, reported a step-change, and each mentioned that the improvement is being driven by customer traffic rather than average ticket size, with ticket described as broadly flat to stabilising. Management framed the recovery as the fading of the overhangs that suppressed 2023–25 growth, especially flight-inspection disruption, high pandemic-era bases, and irrational price competition. Yifeng noted the sequential monthly growth within 2Q (April +7%, May +5%, June +6%). The quality signal also matters: LBX emphasised that its ~15,000 stores are of materially higher operating quality than the same store count 1–2 years ago, having stopped high-speed expansion from 4Q24 to focus on existing-store productivity. Each of our pharmacy calls converged on the same thesis: the current inflection is the achievement of a multi-year consolidation. The store base peaked near 700k during COVID and our expert expects the figure to fall toward 400–500k (a ~1/3 reduction) over 3–5 years, lifting the average population served per store from ~2,000 toward ~3,000. We quantify this as roughly a ~5% same-store growth per year under a 30–50k net-closure-per-year scenario.
- **A franchise-led asset-light consolidation to restart store expansion is on track.** Acquiring franchises has become leading pharmacies' primary lever for capturing the fragmenting tail market, and the opportunity is now attractive. Buyer's-market dynamics prevail with fewer bidders and distressed sellers. Acquisition multiples have compressed to 0.3–0.5x P/S for mid-small chains. Franchise mix has inverted toward existing stores. According to both LBX and

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Dashenlin, ~70-80% of new franchise signings are now conversions of existing stores (vs ~70% new stores two years ago), meaning that more pharmacy operators are seeking shelter under big players (supply chain and operations support) rather than becoming independent greenfield entrants. Model differentiation is a real competitive variable. Dashenlin's integrated direct-operated-style franchise (unified management, ~90% merchandise control, 30+ warehouses, 20+ provinces coverage) is viewed by our channel expert as the most mature. However, OEM/private-label might not be as attractive as we had thought, and might face policy headwinds. Head-chain OEM medical-insurance inclusion is only ~30-40% and expected to fall further as the catalogue removes health/tonic-type SKUs. In addition, OEM acceptance is highly regional (Dashenlin strong in Guangdong/Guangxi area, Yifeng & LBX strong in Jiangsu/Hunan/Hubei).

- **Non-drug product category expansion is the shared hedge against reimbursement-mix erosion, though it remains early-stage.** LBX appears to have the richest non-drug product lines among the three, having introduced 250+ non-drug SKUs year-to-date across functional food, personal care and home-living, and management notes health-food and daily-use product lines are performing well while personal-care and nutritional-supplement categories face consumption-downgrade pressure. Dashenlin is pushing further into service-led non-drug formats, including nutritionist consultations, health testing, TCM (traditional Chinese medicine) therapies, physiotherapy, and AI-based diagnostics across a few hundred remodelled stores, and reports that customers processed through AI testing or nutritionist management show higher stickiness, stronger willingness to pay, and materially higher annual spend. However, the non-drug category expansion is still at an early stage. The health-stations in pharmacies and single-disease formats (sleep, weight, diabetes centres) are still loss-making on an investment-return basis, but their structural edges, such as neighborhood proximity, cheaper price for high quality experience, and community/social engagement give them better chance to compete with the existing health centers.

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